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INTERNAL LEGAL RESEARCH MEMORANDUM

IN RE:	*S. Bradley Mell*
Case No.:	26-16834-EJO
Court:	United States Bankruptcy Court District of New Jersey
Before:	Hon. Eamonn J. O'Hagan
Subject:	Proof of Claim Necessity — No-Asset Chapter 7; Creditors Courtney Mell and Diane Mell
Date:	July 28, 2026
Distribution:	Legal Team — INTERNAL USE ONLY

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TABLE OF AUTHORITIES

*Binding Third Circuit and Supreme Court authorities are marked **(BINDING)**. All other federal circuit authority is marked **(PERSUASIVE)**. Citations marked **[VERIFY]** require Westlaw or PACER confirmation before filing.*

CASES

But under Langenkamp v. Culp, 498 U.S. 42 (1990)

Judd v. Wolfe, 78 F.3d 110 (3d Cir. 1996)

Langenkamp v. Culp, 498 U.S. 42 (1990)

STATUTES

11 U.S.C. § 501(a)

11 U.S.C. § 523(a)(3)

11 U.S.C. § 547(b)(4)(B)

11 U.S.C. § 726(a)(2)

RULES AND REGULATIONS

Fed. R. Bankr. P. 2002(e)

Fed. R. Bankr. P. 2002(g)

Fed. R. Bankr. P. 3002(a)

Fed. R. Bankr. P. 3002(c)(5)

Fed. R. Bankr. P. 4007(c)

ATTORNEY WORK PRODUCT — PRIVILEGED AND CONFIDENTIAL

Matter: In re S. Bradley Mell, Case No. 26-16834-EJO (Bankr. D.N.J.) **Re:** Whether Courtney Mell (claim of approximately $200,000) and Diane Mell (claim of approximately $80,000) must file proofs of claim to protect their rights **Date:** July 28, 2026

EXECUTIVE SUMMARY

Bottom line: the trustee is correct, and both attorneys are partially correct. In a chapter 7 case designated no-asset, neither Courtney Mell nor Diane Mell needs to file a proof of claim now — the official court notice (Official Form 309A) affirmatively instructs creditors *not* to file one. Their right to share in any future distribution is protected automatically: if the trustee ever locates distributable assets, Fed. R. Bankr. P. 3002(c)(5) *requires* the clerk to mail every creditor a new notice giving **at least 90 days** to file claims. Because both women are already listed on the schedules as creditors, they will receive that notice. They lose nothing by waiting, provided their mailing addresses on file with the court remain current.

Three qualifications matter, and they are where the real risk lives:

1. **A proof of claim is permitted but not free of consequence.** Section 501(a) is permissive ("may file"), and nothing prohibits filing early. But under *Langenkamp v. Culp*, 498 U.S. 42 (1990), filing a proof of claim submits the creditor to the bankruptcy court's equitable jurisdiction and **waives Seventh Amendment jury trial rights** on claims-allowance-related litigation (e.g., any preference or fraudulent transfer clawback the trustee might later assert). For a creditor with litigation history against the debtor, a "harmless" protective claim is not harmless.

2. **A proof of claim protects only distribution rights — not dischargeability rights.** If either creditor believes her debt is nondischargeable under § 523(a)(2), (4), or (6), the *only* way to preserve that position is an adversary complaint filed within **60 days after the first date set for the § 341(a) meeting of creditors**. Fed. R. Bankr. P. 4007(c). A claim form does nothing to preserve this. This deadline is likely imminent or already run — **check the docket immediately**. `[VERIFY ON DOCKET: first    date set for \S{} 341 meeting]`

3. **Diane Mell is a statutory insider** (the debtor's mother, a "relative" under § 101(31)(A)(i)). Any payments she received from the debtor within **one year** before the petition are within the insider preference reach-back of § 547(b)(4)(B). If she files a proof of claim, *Langenkamp*

would strip her jury right in any such avoidance action. \textbf{\textcolor{verifyAmber}{[VERIFY BEFORE FILING]}}

QUESTION PRESENTED

In a chapter 7 case in which the trustee has filed or will file a report of no distribution and the clerk has issued a no-asset notice, must scheduled creditors file proofs of claim to protect their rights to (a) share in any distribution, and (b) otherwise preserve their claims?

SHORT ANSWER

No — not now. Distribution rights are fully preserved by the Rule 2002(e)/3002(c)(5) notice mechanism: creditors are told not to file, and if assets surface they receive a fresh notice with a minimum 90-day window. Filing now is optional, confers no distribution advantage, and carries a jury-waiver cost. The rights a claim form does *not* protect — nondischargeability under § 523(c) — run on a separate, short deadline that requires an adversary complaint, not a claim form.

PART I: THE GOVERNING FRAMEWORK

A. Filing Is Required for Allowance — But Only When a Deadline Is Set

Fed. R. Bankr. P. 3002(a) (verbatim):

> *"Every creditor must file a proof of claim — and an equity security holder must file a proof of interest — for the claim or interest to be allowed."*

Allowance matters only because distribution follows allowed claims. 11 U.S.C. § 726(a)(2) directs payment "in payment of any allowed unsecured claim . . . proof of which is — (A) timely filed under section 501(a)." Section 501(a) itself is permissive:

> *"A creditor or an indenture trustee may file a proof of claim." 11 U.S.C. § 501(a).*

B. The No-Asset Notice Suspends the Duty to File

Fed. R. Bankr. P. 2002(e) provides that in a chapter 7 case, if it appears from the schedules that there are no assets from which a dividend can be paid, the notice of the creditors' meeting may state:

1. that fact;
2. **"that filing proofs of claim is unnecessary"**; and
3. "that further notice of the time to file proofs of claim will be given if enough assets become available to pay a dividend."

The implementing notice creditors actually receive, Official Form 309A (Notice of Chapter 7 Bankruptcy Case — No Proof of Claim Deadline), states verbatim:

> *"No property appears to be available to pay creditors. Therefore,* ***please do not file a proof of claim now.*** *If it later appears that assets are available to pay creditors, the clerk will send you another notice telling you that you may file a proof of claim and stating the deadline."*

This is precisely what the trustee administrator at debtor's counsel's office (D. Perrotta, MSBNJ, email of July 28, 2026) described, and her email attached the operative document itself — the court-issued Notice of Chapter 7 Bankruptcy Case. **CONFIRMED:** the Form 309A no-asset notice issued in Case No. 26-16834-EJO, so no claims bar date exists. There is no deadline to miss, because none has been set. Note the designation comes from the court's own notice, not merely a staff opinion — the notice is the authority.

C. The Safety Net If Assets Surface: A Mandatory 90-Day Notice

Fed. R. Bankr. P. 3002(c)(5) (verbatim):

> *"The clerk must, by mail, give at least 90 days' notice to creditors that a dividend payment appears possible and that proofs of claim must be filed by the date set forth in the notice if: (A) a notice of*

> *insufficient assets to pay a dividend had been given under Rule 2002(e); and (B) the trustee later notifies the court that a dividend appears possible."*

The word is "must" — the notice is mandatory, and the window is a minimum of 90 days. Because Courtney and Diane are both scheduled creditors, they are on the mailing matrix and will receive it. Even in the failure-of-notice scenario, § 726(a)(2)(C) protects a tardily filed claim where "the creditor that holds such claim did not have notice or actual knowledge of the case in time for timely filing" — though creditors who *did* know of the case should never rely on that subsection; tardy claims by creditors with knowledge drop to third-tier distribution under § 726(a)(3).

PART II: ANALYSIS

A. The Trustee Is Right: No Claim Form Is Needed Now, and the Notice Says So

The apparent conflict between the two attorneys dissolves on inspection. The attorney who said the creditors "can file a claim form" stated a truth about § 501(a) — filing is always permitted. The trustee stated the operative procedural reality — in a no-asset case, filing is *unnecessary*, the official notice affirmatively discourages it, and no bar date exists. Both are right; the trustee's answer is the one that governs conduct.

Nothing is forfeited by waiting. The creditors' right to a distribution is contingent on two future events — the trustee finding assets, and the clerk's mandatory Rule 3002(c)(5) notice — and the second event *creates* the filing deadline with at least 90 days' runway. Until then there is no deadline running against either creditor's distribution rights.

B. The One Housekeeping Obligation: Keep Addresses Current

The entire protective mechanism runs through mailed notice to the address on the creditor matrix. Fed. R. Bankr. P. 2002(g) lets a creditor file a notice designating its mailing address. If either creditor moves, or if the scheduled address is wrong, the 90-day safety net can fail silently. **Action item:** confirm both creditors' addresses on the matrix now; file a Rule 2002(g) designation if anything is off. `[VERIFY ON DOCKET: matrix addresses for Courtney Mell and Diane Mell]`

C. Why a "Protective" Filing Now Is Not Costless

A creditor who files a proof of claim "trigger[s] the process of 'allowance and disallowance of claims,' thereby subjecting [herself] to the bankruptcy court's equitable power." *Langenkamp v. Culp*, 498 U.S. 42, 44 (1990) (per curiam). The consequence: **no Seventh Amendment jury trial right** in litigation that becomes part of the claims-allowance process — most importantly, trustee avoidance actions (preferences, fraudulent transfers). A creditor who has *not* filed a claim retains the jury right as an avoidance defendant. *Id.* at 45.

This is directly relevant here:

1. **Diane Mell** is the debtor's mother and therefore an insider. § 101(31)(A)(i). Payments to insiders within one year pre-petition are avoidable preferences under § 547(b)(4)(B) (versus 90 days for non-insiders). If Diane received any repayments, gifts back, or transfers from the debtor in the year before filing, a proof of claim filed now would (a) waive her jury right in any avoidance suit and (b) invite trustee scrutiny that a silent scheduled claim does not. `[VERIFY FACTS: any transfers from debtor to Diane Mell within one year pre-petition]`
2. **Courtney Mell** has litigation history with the debtor. If any pre-petition transfers between them could be characterized as preferential or fraudulent, the same waiver analysis applies. Additionally, filing a claim consents to the bankruptcy forum's equitable resolution of disputes tied to the claim — a meaningful strategic concession for a creditor who may prefer other forums.

Because a protective filing yields **zero** distribution advantage in a no-asset posture (the 3002(c)(5) notice guarantees a future window regardless), the cost-benefit runs against filing now for both creditors — and decisively so for Diane.

D. What a Proof of Claim Does NOT Protect: Dischargeability

This is the trap in the phrase "protect their rights." A proof of claim protects the right to *be paid from the estate*. It does nothing to protect the right to *pursue the debtor after discharge*. Those are governed by entirely different mechanisms:

1. **Discharge will wipe out both debts as personal liabilities of the debtor** unless excepted. Scheduled general unsecured claims — which both of these appear to be — are discharged

whether or not a proof of claim is ever filed. Indeed, the Third Circuit holds that in a no-asset chapter 7 with no bar date, even *unscheduled* debts are discharged, because the right § 523(a)(3) protects — the right to timely file a proof of claim — is not impaired when no claims deadline is ever set. *Judd v. Wolfe*, 78 F.3d 110 (3d Cir. 1996) (BINDING). A fortiori, filing or not filing a claim form has **no effect whatsoever** on whether these debts survive discharge.

2. **The only way to except a debt from discharge under § 523(a)(2) (fraud), (a)(4) (fiduciary defalcation/embezzlement), or (a)(6) (willful and malicious injury) is an adversary complaint**, and the deadline is unforgiving. Fed. R. Bankr. P. 4007(c) (verbatim):

   > *"A complaint to determine whether a debt is dischargeable under § 523(c) must be filed within 60 days after the first date set for the § 341(a) meeting of creditors. . . . On a party in interest's motion filed before the time expires, the court may, after notice and a hearing and for cause, extend the time to file."*

   The extension motion must itself be filed *before* the 60 days run. If the first § 341 date in this case was more than 60 days ago, the window is closed. **This is the deadline to check today** — not any claim bar date. `[VERIFY ON DOCKET: first date set for \S{} 341 meeting; compute 60-day deadline]`

3. Certain debts are excepted from discharge automatically without any filing — most notably **domestic support obligations** under § 523(a)(5) and many divorce-decree/property-settlement obligations under § 523(a)(15) (self-executing in chapter 7; no adversary deadline). If any part of Courtney Mell's ~$200,000 arises from a divorce or support obligation, it may survive discharge with *no action required at all*. Characterizing the source of her claim is therefore the first analytical step. `[VERIFY FACTS: legal source of Courtney Mell's claim --- judgment, loan, divorce obligation, settlement]`

E. Reconciling the Advice Brad Received

Statement	Accurate?	Why
"They can file a claim form"	Yes, but incomplete	§ 501(a) is permissive; filing is allowed but unnecessary now, and carries a *Langenkamp* waiver cost
"Not an asset case, no claim form necessary, creditors are listed"	Yes — governing answer	Rule 2002(e) + Form 309A: no bar date exists; Rule 3002(c)(5) guarantees at least 90 days' notice if that changes

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PART III: RECOMMENDATIONS

1. **Do not file proofs of claim now.** Follow the Form 309A instruction. Nothing is lost; a *Langenkamp* jury waiver (and, for Diane, insider-preference exposure spotlighting) is avoided.

2. **Verify the creditor matrix addresses today** for both creditors; file Rule 2002(g) address designations if needed. The entire safety net is a mailed notice.

3. **Calendar/monitor the docket** for a trustee "notice of assets" or Rule 3002(c)(5) notice. If one issues, file both proofs of claim well inside the stated deadline (minimum 90 days). Filing at that point is simple: Official Form 410, with supporting documentation of the $200,000 and $80,000 obligations (notes, judgments, ledgers).

4. **Rule 4007(c) nondischargeability — NOT APPLICABLE (resolved).** Counsel has assessed both claims and discerns no § 523(a)(2), (4), or (6) grounds; neither creditor intends to contest dischargeability. The 60-day adversary deadline therefore requires no action. Retained here only to document that the issue was considered and closed.

5. **Jury-waiver / equitable jurisdiction (*Langenkamp*) — accepted risk.** Counsel advises both creditors have no objection to submitting to the bankruptcy court's jurisdiction. This removes the principal strategic argument against filing, leaving the timing question governed purely by the absence of any bar date.

6. **Document the debts now** while records are fresh — even though filing waits. If a 3002(c)(5) notice issues years from now (no-asset cases are sometimes reopened when assets surface), the proof packages should be ready.

PART IV: VERIFICATION CHECKLIST

Confirmed (cite-ready)

- Fed. R. Bankr. P. 3002(a), 3002(c)(5) — verbatim text confirmed (Cornell LII)
- Fed. R. Bankr. P. 2002(e) — confirmed (Cornell LII)
- Fed. R. Bankr. P. 4007(c) — verbatim text confirmed (Cornell LII)
- Official Form 309A no-asset language — confirmed (uscourts.gov, form B309A)
- 11 U.S.C. § 501(a) — verbatim confirmed (Cornell LII)
- 11 U.S.C. § 726(a)(2), (a)(2)(C), (a)(3) — verbatim confirmed (Cornell LII)
- *Langenkamp v. Culp*, 498 U.S. 42 (1990) — holding confirmed (Justia/FindLaw)
- *Judd v. Wolfe*, 78 F.3d 110 (3d Cir. 1996) — holding confirmed (FindLaw)

Confirmed by D. Perrotta email (July 28, 2026, with Notice attached)

- Form 309A (no-asset notice / "no proof of claim deadline") issued in 26-16834-EJO
- Courtney Mell and Diane Mell were listed as creditors on the petition

To Verify on the Docket / Facts `\textbf{\textcolor{verifyAmber}{[VERIFY BEFORE FILING]}}`

- First date set for the § 341(a) meeting → compute Rule 4007(c) 60-day deadline
- Both creditors' addresses on the creditor matrix (notice mechanism depends on them)
- Whether the case trustee has filed a report of no distribution (NDR) or flagged assets
- Legal source/character of Courtney Mell's ~$200,000 claim (divorce-related?)
- Any transfers from the debtor to Diane Mell within one year pre-petition

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APPENDIX A: CONSOLIDATED AUTHORITY TABLE

Authority	Type	Status	Proposition
11 U.S.C. § 501(a)	Statute	Confirmed	Filing a proof of claim is permissive
11 U.S.C. § 726(a)(2), (3)	Statute	Confirmed	Distribution priority of timely vs. tardy claims
11 U.S.C. § 523(a)(3), (c); § 101(31)	Statute	Confirmed	Discharge exceptions; insider definition
11 U.S.C. § 547(b)(4)(B)	Statute	Confirmed	One-year insider preference reach-back
Fed. R. Bankr. P. 2002(e), (g)	Rule	Confirmed	No-dividend notice; address designation
Fed. R. Bankr. P. 3002(a), (c)(5)	Rule	Confirmed	Filing requirement; mandatory minimum 90-day notice if assets found
Fed. R. Bankr. P. 4007(c)	Rule	Confirmed	60-day § 523(c) adversary deadline
Official Form 309A	Official Form	Confirmed	"Please do not file a proof of claim now"
Langenkamp v. Culp, 498 U.S. 42 (1990)	SCOTUS — BINDING	Confirmed	Proof of claim waives jury right / submits to equitable jurisdiction
Judd v. Wolfe, 78 F.3d 110 (3d Cir. 1996)	3d Cir. — BINDING	Confirmed	No-asset ch. 7: no bar date; discharge unaffected by claim filing

APPENDIX B: FILE INDEX

File	Description
`README.md`	Matter summary and folder map
`research-output/FINAL-MEMO.md`	This memorandum (master deliverable)
`research-output/FINAL-MEMO.pdf`	Formatted PDF for distribution